

Question #1 of 68

Question ID: 1586515

An investment advisor goes straight from a research seminar to a meeting with a prospective new client with whom she has never been in contact. The advisor is very excited about the information she just received in the seminar and begins showing the prospect the new ideas her firm is coming up with. This is *most likely* a violation of:

- A)** Standard III(B), Fair Dealing.
 - B)** Standard III(C), Suitability.
 - C)** both of these.
-

Question #2 of 68

Question ID: 1586554

Albert Long, CFA, manages portfolios of high-net-worth individuals for HKB Corp. One of his close friends, who heads a local charity for homeless children, asks Long to give her a partial list of his clients so that she can contact them to make tax-deductible donations. Because Long knows that the charity provides much benefit to the community, he provides the requested list.

Betty Short, CFA, also works for HKB Corp. She receives a letter from CFA Institute's Professional Conduct Program (PCP) requesting that she provide information about one of HKB's clients who is being investigated. Short complies with the request despite the confidential nature of the information requested by the PCP.

With regard to Standard III(E) Preservation of Confidentiality:

- A)** Both Long and Short violated the Standard.
 - B)** Long violated the Standard but Short did not.
 - C)** Short violated the Standard but Long did not.
-

Question #3 of 68

Question ID: 1586504

Mohawk Asset Management buys on-the-run Treasuries at auction for its standard fee accounts. When these move off-the-run, they are placed in performance-based accounts via in-house cross-trades at prevailing market prices, and replaced in the standard fee accounts with new on-the-run issues. Which standard is violated, if any?

- A)** No Standard is violated.
 - B)** The Standard concerning Priority of Transactions.
 - C)** The Standard concerning Fiduciary Duty.
-

Question #4 of 68

Question ID: 1586489

Jordan Conomos is the new trustee for the Grant Trust, which has both current beneficiaries and remaindermen. Up until now, the trust has been entirely invested in long-term tax-free municipal bonds. Conomos decides to put 30 percent of the assets in common stocks, with the justification that taxes should be the concern of the trust beneficiaries and not the trust, and the trust needs some diversification and growth. Conomos is:

- A)** not violating his fiduciary duty.
 - B)** violating his fiduciary duty by not considering taxes.
 - C)** violating his fiduciary duty by not investing solely for the purposes of the current beneficiaries.
-

Question #5 of 68

Question ID: 1586529

Caroline Turner, an analyst for Lansing Asset Management, just completed an investment report in which she recommends changing a "buy" to a "sell" for Gallup Company. Her supervisor at Lansing approves of the change in recommendation. Turner wonders about whether she needs to disseminate this investment recommendation to Lansing's clients and if so, how to distribute this information. According to CFA Institute Standards of Professional Conduct, Turner is:

- A)** required to design an equitable system to disseminate the change in a prior investment recommendation.
- B)** not required to disseminate the change of recommendation from a buy to a sell because the change is not material.

- C)** required to disseminate the change in a prior investment recommendation to all clients and customers on a uniform basis.
-

Question #6 of 68

Question ID: 1586542

With regard to Global Investment Performance standards (GIPS), if the Chief Investment Officer of an investment advisory firm also is a CFA charterholder:

- A)** the firm is required to comply with GIPS.
 - B)** the charterholder is required to comply with GIPS.
 - C)** neither the firm nor the charterholder are required to comply with GIPS.
-

Question #7 of 68

Question ID: 1586517

With regard to disseminating investment recommendations, the recommended procedures for compliance with the Standard concerning fair dealing *least likely* state that members and candidates should:

- A)** shorten the time frame between the decision to make an investment recommendation and its dissemination.
 - B)** maximize the number of people who know an investment recommendation is going to be disseminated.
 - C)** maintain a list of clients and their holdings, to facilitate notifying them of changes in investment recommendations.
-

Question #8 of 68

Question ID: 1586492

Brenda Simone is a money manager and the Blue Streets Pension Fund is one of her clients. The director of the pension fund calls Simone and asks her to use a particular broker so that the fund can obtain some research services with the soft dollars from that broker. Simone believes that the desired broker will provide the same price and execution as the normal broker that Simone uses. Simone does as the client wishes. Simone has:

- A)** violated the Standards.
 - B)** not violated the Standards as long as the research provided by the broker will benefit Blue Streets.
 - C)** not violated the Standards as long as the research provided by the broker will benefit the plan beneficiaries.
-

Question #9 of 68

Question ID: 1586500

Alan Cramer, CFA, practices in a country that does not regulate the investment of company retirement plans. He was retained by Bingham Companies to manage their corporate pension plan. Bingham's management has approached Cramer and requested that Cramer invest the entire plan in Bingham stock.

Cramer may:

- A)** invest a portion of the retirement plan in Bingham Company stock if the investment is prudent and if he keeps the overall portfolio properly diversified.
 - B)** invest all of the retirement plan assets in Bingham Company stock according to management's request only if Cramer can document that the investment is more prudent than any other investment opportunity he finds.
 - C)** not invest any of Bingham Company's retirement plan in its own stock regardless of the stock's prospects and in spite of management's request.
-

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Question ID: 1586544

Paul Salyer, a portfolio manager, is making a presentation to a prospective client. Paul says that as a new portfolio manager, he made an average annual rate of return of 50% in the last two years at his previous firm and that based on this, he can guarantee a 50% return to the client. Which of the following statements is in accordance with Standard III(D), Performance Presentation?

- A)** Stating his past performance as long as it is fact.
- B)** Implying that he can guarantee a return.
- C)** Imputing his past performance to future performance.

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Question ID: 1586501

A member would *most likely* violate the Standard regarding duties to clients by:

- A)** recommending purchase of securities without a reasonable inquiry into the investment experience of the client.
 - B)** executing a client order for a security the member believes is greatly overvalued.
 - C)** adding a risky derivative security to the portfolio of a client with moderate risk tolerance.
-

Question #12 of 68

Question ID: 1586551

Calvin Doggett, CFA, has been contacted by the CFA Institute Professional Conduct Program (PCP) regarding allegations that he has taken investment actions that were unsuitable for his clients. Doggett is questioned by PCP concerning the identity of his clients he considered suitable for investing in a very risky start-up company that eventually went bankrupt.

Doggett will:

- A)** not violate the Code and Standards only if he reveals the financial condition and investment objectives of his clients on an anonymous basis and does not reveal the names of his clients to PCP.
 - B)** violate the Code and Standards by fully cooperating with a PCP investigation if it means revealing confidential information.
 - C)** not violate the Code and Standards by revealing the names, financial condition and investment objectives of his clients to PCP.
-

Question #13 of 68

Question ID: 1586513

Steven Wade, CFA, writes an investment newsletter focusing on high-tech companies, which he distributes by e-mail to paid subscribers. Wade does not gather any information about his clients' needs and circumstances. Wade has developed several complex valuation models that serve as the basis for his recommendations. Each month, his newsletter contains a list of "buy" and "sell" recommendations. He states that his recommendations are suitable for all types of portfolios and clients. Because of their proprietary nature, Wade does not disclose, except in general terms, the nature of his valuation models. He conducted numerous statistical tests of these models and they appear to have worked well in the past. In his newsletter, Wade claims that subscribers who follow his recommendations can expect to earn superior returns because of the past success of his models.

Wade violated all of the following CFA Institute Standards of Professional Conduct EXCEPT:

- A)** Standard III(B), Fair Dealing.
 - B)** Standard V(B), Communication with Clients and Prospective Clients.
 - C)** Standard I(C), Misrepresentation.
-

Question #14 of 68

Question ID: 1586533

Janet Reilly has just approached Betty Miller, CFA, about purchasing 10,000 shares of Brookshire Co., a newly incorporated real estate development firm. Reilly is a retired schoolteacher living off the income from her late husband's life insurance policy. This investment will represent a significant shift in her investment portfolio. Miller believes this trade is unsuitable with respect to Reilly's investment policy statement. Consistent with the Standards, Miller should *most appropriately*:

- A)** discuss with Reilly whether she wishes to update her investment policy statement.
 - B)** follow her firm's procedures for obtaining Reilly's approval to carry out the unsolicited trade request.
 - C)** not accept the order, because it is not a suitable investment for Reilly.
-

Question #15 of 68

Question ID: 1586490

All of the following would be effective components of a formal compliance system EXCEPT:

- the investor's objectives and constraints should be maintained and reviewed
- A)** periodically to reflect any changes in the client's circumstances.
- the firm prohibits analysts and portfolio managers from using material nonpublic
- B)** information in making investment recommendations or taking investment action.
- as a fiduciary under ERISA, the firm will strictly follow pension plan instructions and
- C)** restrictions, which may include concentrating portfolios in a few securities or industries.
-

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Question ID: 1586532

Lance Tuipulotu, CFA, manages investments for 400 individuals and families and often finds his resources stretched. When his largest investors petition him to include a 5% to 7% allocation of non-investment-grade bonds in their portfolios, he decides he needs additional help to meet the request. He considers various subadvisers who specialize in that asset class. To have a reasonable basis for selecting a subadviser, criteria that Tuipulotu should use should *least likely* include:

- A)** their internal controls.
- B)** consistently high historical returns.
- C)** adherence to their stated strategies.
-

Question #17 of 68

Question ID: 1586506

Which of the following would be the *least* important proxy issue?

- A)** Takeover defense and related actions.
- B)** Election of internal auditors.
- C)** Compensation plans for officers.
-

Question #18 of 68

Question ID: 1586547

A money manager is meeting with a prospect. She gives the client a list of stocks and says, "These are the winners I picked this past year for my clients. Their double-digit returns indicate the type of returns I can earn for you." The list includes stocks the manager had picked for her clients, and each stock has listed with it an accurately measured return that exceeds 10%. Is this a violation of Standard III(D), Performance Presentation?

- A)** Yes, unless the positions listed constitute a complete presentation (i.e., there were no stocks omitted that did not perform in the double digits).
 - B)** No, because the manager had the historical information in writing.
 - C)** Yes, because the manager cannot reveal historical returns of recent stock picks.
-

Question #19 of 68

Question ID: 1586502

An independent analyst has only one client. One of the client's largest holdings is a brokerage firm. Because of the large holding by his client, the brokerage firm recently began allowing the analyst to tap into the firm's computer network to use the firm's research facilities. This is allowable as long as the analyst:

- A)** discloses the relationship to the client.
 - B)** does both of the actions listed here.
 - C)** uses the resources to help manage the client's account.
-

Question #20 of 68

Question ID: 1586523

Which of the following statements is *least* accurate? It is permissible under the Standards to allocate trades:

- A)** on a pro rata basis over all suitable accounts on the basis of an advance indication of interest and indicated order size.
 - B)** on a pro rata basis over all accounts.
 - C)** on a pro rata basis over all suitable accounts based upon account value.
-

Question #21 of 68

Question ID: 1586543

Ned Brenan manages two dozen pension accounts, one of which earned over 25% during the past two years. Brenan tells prospective clients that based on past experience they can expect a 25% return on their funds. Which of the following statements is CORRECT?

- A)** Brenan has not violated Standard of Professional Conduct III(D), Performance Presentation, but Brenan has violated Standard I(C), Misrepresentation.
 - B)** Brenan has violated Standard of Professional Conduct III(D), Performance Presentation, but Brenan has not violated Standard I(C), Misrepresentation.
 - C)** Brenan has violated both Standard of Professional Conduct III(D), Performance Presentation, and Standard I(C), Misrepresentation.
-

Question #22 of 68

Question ID: 1586512

Scott Andrews, CFA, is a stockbroker selling an oversubscribed stock issue. Which of the following *best* describes Andrews' actions regarding this sale? Andrews:

- A)** can only offer this security to clients for which it is appropriate on a first come first serve basis.
 - B)** can offer this security on a prorated basis to all clients for which the security is appropriate.
 - C)** cannot offer an oversubscribed issue of stock to any clients.
-

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Question ID: 1586493

Paul Drake, CFA, is employed by Muskie Company to provide investment advice to participants in the firm's defined contribution pension plan. Muskie stock is one of the investment options in the plan. Drake feels that the stock is too risky for employees to own and starts advising them to pull out of the stock. The Treasurer of the company calls Drake and tells him that he will be fired if he continues making such advice because he is violating his fiduciary duty to the company. Drake should *most* appropriately:

- A)** make sell recommendations but point out that the company Treasurer has a differing and valid point of view.
- B)** continue to advise employees to sell their stock.

- C)** tell employees that he cannot provide advice on company stock because of a conflict of interest.
-

Question #24 of 68

Question ID: 1586503

When a firm seeks to allocate a disproportionate number of shares of a hot IPO to performance-based fee accounts this constitutes a violation of the Standard concerning:

- A)** fiduciary duty.
 - B)** priority of transactions.
 - C)** additional compensation arrangements.
-

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Question ID: 1586518

In securing the shares for all accounts under her management, Linda Kammel of Northwest Futures purchased three blocks of shares at three different prices. She then allocated these shares by placing shares from the first block in accounts with surnames beginning with A-G. The second was allocated over accounts H-P, and the third over Q-Z. This action is:

- A)** permissible only if the clients are informed of the allocation procedure.
 - B)** not permissible under the Code and Standards.
 - C)** consistent with her responsibilities under the Code and Standards.
-

Question #26 of 68

Question ID: 1586549

Greg Stiles, CFA, may withhold from CFA Institute information about a client acquired in the regular performance of his duties:

- A)** for neither of the reasons listed.
 - B)** only if Stiles is a relative of the client.
 - C)** only if Stiles has a special confidentiality agreement with the client.
-

Question #27 of 68

Question ID: 1586487

Which of the following statements about soft dollars is *least* accurate?

- A)** Soft dollars are assets of the client.
 - B)** Directed brokerage are soft dollars to be used for research that benefits the investment firm.
 - C)** Soft dollars are third party research arrangements.
-

Question #28 of 68

Question ID: 1586527

Concerning Standard III(B), Fair Dealing, which of the following actions is *NOT* a valid procedure for compliance with the Standard?

- A)** Communicate investment recommendations simultaneously within the firm and to customers, where possible.
 - B)** Limit the number of people that are involved and are privy to the fact that an investment recommendation is going to be disseminated.
 - C)** Communicate investment recommendations to all customers including those accounts for which the securities are not eligible for purchase.
-

Question #29 of 68

Question ID: 1586486

Which of the following statements about a member's use of client brokerage commissions is NOT correct? Client brokerage commissions:

- A)** may be directed to pay for the investment manager's operating expenses.
 - B)** should be used by the member to ensure that fairness to the client is maintained.
 - C)** should be commensurate with the value of the brokerage and research services received.
-

Question #30 of 68

Question ID: 1586516

A money management firm has the following policy concerning new recommendations: When a new recommendation is made, each portfolio manager estimates the likely transaction size for each of their clients. Clients are notified of the new recommendation in the order of their estimated transaction size—largest first. All clients have signed a form where they acknowledge and consent to this allocation procedure. With respect to Standard III(B), Fair Dealing, this is:

- A)** not a violation because the clients have signed the consent form.
 - B)** a violation of the standard.
 - C)** not a violation because the clients are aware of the policy.
-

Question #31 of 68

Question ID: 1586497

Regarding (1) not voting all client proxies, and (2) using a directed brokerage arrangement, a member would violate the Standards by:

- A)** engaging in neither of these practices.
 - B)** using a directed brokerage arrangement.
 - C)** not voting all proxies for client stocks.
-

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Question ID: 1586519

Rey Sanchez, CFA, covers the specialty chemical industry for Rock Advisory Associates. Until today he has had a buy recommendation on ChemStar, and many of the firm's customers have purchased shares based upon his recommendation. The firm's client accounts are divided into two fundamental categories: trading and buy-and-hold accounts. The firm holds discretionary trading authority over the trading accounts, but not the buy-and-hold accounts. Sanchez has recently come to believe that the fundamentals are changing for the worse at ChemStar, and is preparing a sell recommendation. He calls a meeting of the firm's portfolio managers with accounts holding ChemStar and tells them of the pending release of the sell recommendation. On this basis, the portfolio managers sell all positions in the discretionary accounts but not in the buy-and-hold accounts. Sanchez completes and mails the report to all clients two days later, and, shortly thereafter, many of the buy-and-hold accounts sell their ChemStar positions. With regard to these actions, Sanchez is:

- A)** not in violation of the Standard on Fair Dealing; the portfolio managers are in violation of the Standard on Fair Dealing.
 - B)** in violation of the Standard on Fair Dealing; the portfolio managers are in violation of the Standard on Fair Dealing.
 - C)** in violation of the Standard on Fair Dealing; the portfolio managers are not in violation of the Standard on Fair Dealing.
-

Question #33 of 68

Question ID: 1586521

Alba Vasquez allocates trades of hot new IPOs as follows: $m \times p / (p + s)$ shares to performance-based fee accounts, $m \times s / (p + s)$ shares to standard fee accounts, where there are p suitable performance based fee accounts, s suitable standard fee accounts, and m shares available. This action is:

- A)** not permissible since it effectively favors the performance-based fee accounts.
 - B)** permissible since it effectively amounts to a strict pro rata basis of allocation.
 - C)** not permissible since it is based upon a formula that is not inherently fair.
-

Chandra Patel, CFA, manages private client portfolios for QED Investment Advisers. Part of QED's firm-wide policy is to adhere to CFA Institute Standards of Professional Conduct in the management of all client portfolios, and to this end, the firm requires that client objectives, investment experience, and financial limitations be clearly established at the outset of the relationship. This information is updated at regular intervals not to exceed eighteen months. The information is maintained in a written investment policy statement (IPS) for each client.

Anarudh Singh has been one of Patel's clients ever since she began managing money ten years ago. Shortly after his regular situational update, Singh calls to inform Patel that his uncle is ill, and it is not known how long he will survive. Singh expects to inherit "a sizeable sum of money," mainly in the form of municipal bonds. His existing portfolio allocation guidelines are for 75% to be invested in bonds. Singh believes that the expected inheritance will allow him to assume a more aggressive investment profile and asks Patel to begin moving toward a 75% allocation to equities. He is specifically interested in opening sizable positions in several technology firms, some of which have only recently become publicly traded companies. Patel agrees to begin making the changes to the portfolio and the next day begins selling bonds from the portfolio and purchasing stocks in the technology sector as well as in other sectors. After placing the trade orders, Patel sends Singh an email to

request that he come to her office sometime during the next week to update his IPS. Singh replies to Patel, saying that he can meet with her next Friday.

A few days before the meeting, however, Singh's uncle dies and the portfolio of municipal bonds is transferred to Singh's account with QED. Patel sees this as an opportunity to purchase more technology stocks for the portfolio and suggests taking such action during her meeting with Singh, who agrees. Patel reviews her files on technology companies and locates a report on NetWin. The analyst's recommendation is that this stock is a "core holding" in the technology sector. Patel decides to purchase the stock for Singh's account in addition to several other wealthy client accounts with high risk tolerance levels, but due to time constraints she does not review the holdings in each account. Patel does examine the aggregate holdings of the accounts to determine the approximate weight that NetWin should represent in each portfolio.

Since Patel has very recently passed the Level III examination, QED sends a promotional email to all of the firm's clients. The email states that "QED is proud to announce that Chandra Patel is now a CFA (Chartered Financial Analyst). This distinction, which is the culmination of many years of work and study, is further evidence of the superior performance you've come to expect at QED." Patel also places phone calls to several brokers that she uses to place trades for her accounts, stating that she "passed all three CFA examinations on the first attempt." One of the people Patel contacts is Max Spellman, a long-time friend and broker with TradeRight Brokers Inc. Patel uses the opportunity to discuss her exclusive trading agreement with TradeRight for Singh's account.

When ordering trades for Singh's account, Patel's agreement with TradeRight for brokerage services requires her to first offer the trade to TradeRight, and then to another broker if TradeRight declines to take the trade. TradeRight never refuses the trades from any manager's clients. Patel established the relationship with TradeRight because Singh, knowing the firm's fee schedule relative to other brokers, asked her to do so. However, because TradeRight is very expensive and offers only moderate quality of execution, Patel is considering directing trades on Singh's account to BullBroker, which charges lower commissions and generally completes trades sooner than TradeRight.

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Question ID: 1586535

Do QED's policies comply with CFA Institute Standards of Professional Conduct with respect to the information contained within the client IPS' and the frequency with which the information is updated?

Information

Frequency

- A) No Yes
- B) Yes No
- C) No No
-

Question #35 - 39 of 68

Question ID: 1586536

In light of Singh's comments during his telephone call to Patel prior to his uncle's death, which of the following actions that Patel can take comply with CFA Institute Standards of Professional Conduct?

- Patel must adhere to the existing portfolio strategy until she meets with Singh to
- A) develop a new portfolio strategy based upon updated financial information, but may place trades which are consistent with the existing strategy.
- B) Patel may change the current portfolio strategy and begin trading based upon Singh's expectations because he advised her to do so.
- C) Patel must not place any trades in the account until she meets with Singh to develop a new portfolio strategy based on the updated information.
-

Question #36 - 39 of 68

Question ID: 1586537

According to CFA Institute Standards of Professional Conduct, may Patel reallocate Singh's portfolio toward technology stocks after his Uncle dies, but before the meeting with Singh?

- A) No—Patel and Singh must meet and revise the IPS and portfolio strategy before reallocating.
- B) No—Patel must wait until the next annual meeting to reallocate.
- C) Yes—the total value of the municipal bonds received into the account will be too large relative to the other assets in the portfolio.
-

Question #37 - 39 of 68

Question ID: 1586538

Did Patel violate any CFA Institute Standards of Professional Conduct when she purchased the NetWin stock for Singh's portfolio or for the other clients' portfolios?

Singh's
portfolio

Other portfolios

- | | |
|---------------|-----|
| A) No | No |
| B) No | Yes |
| C) Yes | Yes |
-

Question #38 - 39 of 68

Question ID: 1586539

Which of the following is *least* accurate regarding the promotional announcement of Patel passing the Level III exam?

- A)** The promotional announcement violates the restrictions on misrepresenting the meaning of the CFA designation.
 - B)** The promotional announcement assumes that passing of the Level III examination of the CFA program allows one to use the CFA designation.
 - C)** The announcement violates the Code of Ethics because it implies that obtaining a CFA charter leads to superior performance.
-

Question #39 - 39 of 68

Question ID: 1586540

With respect to the choice of broker, did Patel violate any CFA Institute Standards of Professional Conduct?

- A)** Yes, since Patel is obligated to seek the best possible price and execution for all clients.
 - B)** Yes, since Patel failed to properly notify Singh that using TradeRight would lead to higher commissions and opportunity costs.
 - C)** No.
-

Question #40 of 68

Question ID: 1586545

Nancy Korthauer, CFA, has launched a new hedge fund called the Korthauer Tautology Fund and is actively soliciting clients from competitor's firms. Client presentations are necessarily brief and often take place with the prospective client's current investment advisor in the room. The Code and Standards require that:

- A)** member or candidate provide (on request) additional detail information which supports the abbreviated presentation.
 - B)** a prospective client's current investment advisor not participate in meetings.
 - C)** all client presentations provide a thorough review of all elements of the investment management process. Abbreviated presentations are forbidden.
-

Question #41 of 68

Question ID: 1586491

A company has a defined benefit plan that is currently under-funded. The plan sponsor has instructed the portfolio manager of the plan to invest more aggressively to bring the funding level up to an adequate amount. Which of the following statements *best* describes the course of action the portfolio manager should take? The portfolio manager should:

- A)** not invest more aggressively since this may expose the plan to too much risk and may not be in the best interest of the plan's beneficiaries.
 - B)** invest more aggressively because his fiduciary duties lie with the plan sponsor.
 - C)** not invest more aggressively because this is not the method used to increase the funding level of a plan.
-

Question #42 of 68

Question ID: 1586498

According to the Standard concerning loyalty, prudence, and care, brokerage is an asset of the:

- A)** client.
- B)** managing firm.
- C)** brokerage firm conducting the trades.

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Question ID: 1586541

Wanda Brunner, CFA, is reviewing a draft fund prospectus for her new "Leveraged Long Coffee" (LLC), a closed-end fund. LLC uses a combination of fundamental and technical trading models to evaluate individual securities. She notes the LLC prospectus has several disclosures which cause her to worry that prospective clients will avoid her fund.

- Disclosure 1: "LLC charges a flat 3.00% of assets under management."
- Disclosure 2: "LLC may invest up to 40% of the fund's assets in securities which are not related to coffee or other consumer products."
- Disclosure 3: "LLC relies only on fundamental valuation of individual securities."

Which of the following standards will *most likely* be violated by distribution of the prospectus?

- A)** Standard III(C) Duties to Clients: Suitability because the fees are exorbitant.
 - B)** Standard III(C) Duties to Clients: Suitability because the fund can hold an excessive portion of the portfolio in non-core assets.
 - C)** Standard III(C) Duties to Clients: Suitability because it misleads the reader as to the process by which securities are selected.
-

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Question ID: 1586526

Pro rata allocation on the basis of an advance indication of interest means each account for which the shares are suitable:

and which has expressed an advance indication of interest, shall receive $w \cdot m$

- A)** shares, where w is the account's proportional value of all such accounts and there are m shares available.
 - B)** shall receive m/n shares, where there are m shares available and n such accounts.
 - and which has expressed an advance indication of interest, shall receive m/n
 - C)** fraction of their indication, where there are m shares available and indications of interest for n shares.
-

Question #45 of 68

Question ID: 1586485

Perley & Sons is an investment advisor company that just signed a contract with full discretionary power for the management of assets for Bright Future, a charitable fund. Without consultation, portfolio manager Martin Brown, CFA, decides to trade the funds' assets through a brokerage firm that provides, as an additional benefit, research reports for companies in the microchip industry. These companies represent the main investment interest for most of the Perley & Sons clients. The Bright Future portfolio does not hold any equities in the microchip industry, and, because of its risk profile, is unlikely to ever do so. Which of the following activities represents a possible breach with the CFA Institute standards?

- A)** Lack of action in consulting with the client before choosing the brokerage firm.
 - B)** Accepting research reports from the brokerage firm that do not benefit client portfolios.
 - C)** Exercising a selection principle that does not comply with the idea of best trade price and execution.
-

Question #46 of 68

Question ID: 1586495

Ed Staples, CFA, manages a pension fund sponsored by Hill Corporation. The Code and Standards *most likely* require Staples to:

- A)** act solely in the interest of the ultimate beneficiaries.
 - B)** support the sponsor's management during proxy fights.
 - C)** base investment decisions on each beneficiary's return requirements and risk tolerance.
-

Question #47 of 68

Question ID: 1586505

Sharon Pope has been asked by the Chief Investment Officer to develop a firm-wide policy for proxy voting. Which of the following would NOT be acceptable to include in the policy statement?

- A)** Portfolio managers of active funds must vote in all proxies; portfolio managers of index funds should vote only when they have a definitive opinion.

- B)** The value of proxy voting must be maximized.
 - C)** Voting proxies may not be necessary in all instances.
-

Question #48 of 68

Question ID: 1586552

A CFA charterholder may disclose confidential information about a client when:

- A)** the information is nonmaterial.
 - B)** the CFA Institute Professional Conduct Program requests it.
 - C)** it is a necessary step in proceeding with research on client preferences.
-

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Question ID: 1586548

While servicing his clients' accounts, an analyst who is a CFA charterholder, determines that one client is probably involved in illegal activities. According to Standard III(E), Preservation of Confidentiality, the analyst may NOT do which of the following?

- A)** Contact the appropriate governmental authorities about the determination.
 - B)** Contact CFA Institute about the determination.
 - C)** There are no exceptions in this list.
-

Question #50 of 68

Question ID: 1586550

Greg Stiles, CFA, keeps a list of his clients' birthdays and has personally sent them a birthday card each year at the appropriate time. With respect to this action, which of the following may be a violation of Standard III(E), Preservation of Confidentiality?

- A)** Hiring a company outside the firm to perform the task.
 - B)** Sending a gift along with the card.
 - C)** The mere act of sending a birthday card each year.
-

Question #51 of 68

Question ID: 1586514

The following information pertains to the Galaxy Trust, a trust established by Stephen P. House and managed by Gamma Investment LLC:

- At the time the trust was established House provided \$5 million in cash to fund the trust, but Gamma was aware that 93% of his personal assets were in the form of Oracle stock.
- Gamma has been asked to view his funds and the trust as a single entity for planning purposes, since House's will stipulates that all of his estate will pass to the trust upon his death.
- The investment policy statement, developed in September 1996, stipulates that the trust should maintain a short position in Oracle stock and use the proceeds to diversify the trust more adequately.
- House was able to sell all of his Oracle shares back to the corporation in January 1999 for cash.
- The policy statement redrawn in September 1999 continues to stipulate that the trust hold a short position in Oracle stock.
- House has given the portfolio manager in charge of the trust an all-expenses paid vacation package anywhere in the world each year at Christmas. The portfolio manager has reported this fact in writing to his immediate supervisor at Gamma.

Which of the following is *most* correct? The investment manager is:

- not in violation of the Code and Standards for not properly updating the investment
- A)** policy statement in light of the change in the circumstances and is not in violation with regard to the acceptance of the gift from House.
- in violation of the Code and Standards by not properly updating the investment
- B)** policy statement in light of the change in the circumstances but is not in violation with regard to the acceptance of the gift from House.
- in violation of the Code and Standards by not properly updating the investment
- C)** policy statement in light of the change in the circumstances and is in violation with regard to the acceptance of the gift from House.
-

Question #52 of 68

Question ID: 1586522

Concerning Standard III(B), Fair Dealing, which of the following statements is CORRECT? The Standard:

- A) concerns the dissemination of investment recommendations but is not concerned with the taking of investment action.
 - B) concerns the dissemination of investment recommendations and the taking of investment action.
 - C) is not concerned with the dissemination of investment recommendations so long as the taking of investment action is inherently fair.
-

Question #53 of 68

Question ID: 1586499

Tony Calaveccio, CFA, is the manager of the TrustCo Small Cap Venture Fund in Toronto. He places trades for the fund with Canadian Brokerage. Canadian provides Calaveccio with soft dollars to purchase research. He uses these soft dollars to get research reports from Canadian's research department regarding the issues currently held in the small cap portfolio, and also for firms he is contemplating adding to the portfolio. By using soft dollars in this manner, Calaveccio has:

- A) violated the Code and Standards by acquiring research on issues that the fund already holds but not by acquiring research on issues contemplated for purchase.
 - B) violated the Code and Standards by acquiring research on issues contemplated for purchase but not by acquiring research on currently held issues.
 - C) not violated the Code and Standards.
-

Question #54 of 68

Question ID: 1586530

Bob Hatfield, CFA, has his own money management firm with two clients. The accounts of the two clients are equal in value. One of the clients gets married and the assets of the new spouse and the client are combined. With the larger portfolio of the now married client, Hatfield determines that they can assume a higher level of risk and begins a change in the policy concerning that portfolio. Which of the following would violate Standard III(C), Suitability?

- A) Implement a similar policy for the other client who did not just get married.
- B) Assess the time horizon of the newly married client and his spouse.
- C) Assess the return objectives of the newly married client and his spouse.

Question #55 of 68

Question ID: 1586528

Which of the following trade allocation procedures is improper? Allocation:

- A)** based upon past participation in IPOs.
 - B)** on a strict pro rata basis over all suitable accounts.
 - C)** based upon a predetermined formula.
-

Question #56 of 68

Question ID: 1586531

An analyst thinks that a major change in the tax law will benefit holders of utility company stocks. She immediately begins calling all her clients and telling them of the upside potential of investing in such assets now. Based upon this information, this is *most likely*:

- A)** a violation of Standard III(C), Suitability.
 - B)** a violation of Standard V(A), Diligence and Reasonable Basis.
 - C)** congruent with Standard V(A), Diligence and Reasonable Basis.
-

In August 2005, the following events occurred related to Aggregate Opportunities, Inc.:

- Aug. 8: The Wall Street Journal reported that Aggregate Opportunities had inflated its 2004 earnings due to questionable accounting practices. The story was based on interviews with unnamed sources within Aggregate and its auditor, Millennium Partners. On that day the stock fell 42 percent to \$12.50 from \$21.55.
- Aug. 10: At 9 a.m., Aggregate revealed in a conference call to analysts a restatement of earnings for the previous three fiscal years that almost completely erased the reported net income for fiscal years 2002, 2003, and 2004. Aggregate's chief financial officer personally selected the small group of analysts participating in this call. Company officers said the restatement resulted from questionable accounting practices for off-balance sheet limited partnerships. At 1 p.m., the company issued a news release containing the information provided in the conference call. By the end of the trading day the stock had fallen 74 percent to \$3.25.
- Aug. 11: At 10 a.m., Aggregate's Chief Financial Officer Buster Lockhart, CFA, publicly announced his resignation, and the Securities and Exchange Commission said it was pursuing an investigation.

During July and August of 2005, the following actions were taken:

- July 20: Michael Cho, CFA, a highly respected analyst with 25 years of experience covering Aggregate's industry, had spent several days reading Aggregate's 10-K and 10-Q documents and other analysis published by some of his competitors at major brokerage houses. Based on his reading and conversations with Aggregate management concerning nonmaterial, nonpublic information, Cho concluded that Aggregate had inflated its earnings. On July 20, Cho issued a detailed research report to his clients and concluded that Aggregate should be sold. He subsequently participated in the Aug. 10 conference call, although it only confirmed what he had already detailed in his July research report.
- Aug. 2: Equity analyst Harold Black, a CFA charterholder, received from his brother information that Aggregate might restate its earnings. Black's brother is a senior partner at Millennium Partners. Based on this information, Black immediately prepared a new research report that advised his clients to sell Aggregate, but did not liquidate his personal holdings in the company.
- Aug. 4: Bob Watkins, a CFA Level II candidate and portfolio manager, was golfing at his club. Approaching the third tee, he heard the chief executive officer and chief financial officer of Aggregate discussing company finances. Concealing himself behind a tree, Watkins overheard them discussing the upcoming Wall Street Journal article and the earnings restatement. Based on this conversation, he immediately sold all Aggregate holdings in his clients' portfolios. Later that day, Watkins told his friend Juan Martinez, CFA, what he learned about Aggregate and how he learned it. Martinez, a subscriber to Cho's research, then read Cho's report on Aggregate. Immediately after finishing Cho's report, Martinez sold the fund's entire stake in Aggregate. Watkins and Martinez were not participants in the Aug. 10 conference call.
- Aug. 8: Barb Henderson, a CFA charterholder, read the Wall Street Journal article in the morning and after going over her research papers, issued a sell recommendation for Aggregate. On Aug. 10, she participated in the conference call and heard the details of the earnings restatement.
- Aug. 10: Lisa Sanders, CFA, participated in the Aggregate conference call. At 10 a.m., she changed her recommendation on Aggregate from hold to sell and informed all of her clients. At 1 p.m., Sanders sold Aggregate from her personal account.

Question #57 - 60 of 68

Question ID: 1586508

In selling his clients' holdings in Aggregate, Watkins:

- A) did not violate Standard II(A): Material Nonpublic Information because the information did not involve a tender offer.

- B)** violated Standard II(A): Material Nonpublic Information by taking investment action.
- C)** did not violate Standard II(A): Material Nonpublic Information because there was no breach of duty.
-

Question #58 - 60 of 68

Question ID: 1586509

After changing her recommendation on Aggregate, Sanders:

- A)** violated Standard VI(B): Priority of Transactions by trading Aggregate from her own account.
- B)** violated Standard II(A): Material Nonpublic Information by taking investment action based on information not accessible to the public.
- C)** did not violate Standard II(A): Material Nonpublic Information because the information was disclosed to a select group of analysts.
-

Question #59 - 60 of 68

Question ID: 1586510

In selling his fund's stake in Aggregate, Martinez:

- A)** violated Standard III(A): Loyalty, Prudence, and Care by using information obtained from Watkins.
- B)** violated no standards.
- C)** violated Standard II(A): Material Nonpublic Information by using information obtained from Watkins.
-

Question #60 - 60 of 68

Question ID: 1586511

Which statement about violations of the Code and Standards is CORRECT?

- A)** Henderson violated the reasonable-basis standard, but Sanders did not violate the Standard regarding use of material nonpublic information.
- B)** Aggregate's CFO violated the market manipulation Standard, but Black did not violate the fiduciary-duties Standard.

- C)** Martinez did not violate the Standard regarding use of material nonpublic information and did not violate the fiduciary-duties standard.
-

Question #61 of 68

Question ID: 1586520

Rickard Advisors recently had a trading error in a customer account that was subsequently discovered by Rickard. The firm felt embarrassed by the disclosure of this error, and, in order to induce the client to continue its relationship, Rickard offers the client preferential access to a new issue that is expected to be "hot." Which Standard is violated, if any?

- A)** The Standard concerning Independence and Objectivity.
 - B)** The Standard concerning Fiduciary Duty.
 - C)** The Standard concerning Fair Dealing.
-

Question #62 of 68

Question ID: 1586546

A money management firm creates a new high-yield bond fund. The firm accurately computed the returns from the past three years for each of the bonds in the fund. The firm uses the current portfolio weights to determine an average annual historical return equal to 18%. When the firm advertises the new fund at its issuance, they state an 18% annual historical return. With respect to performance presentation, this is:

- A)** in compliance with the Standards.
 - B)** a violation of the Standards because the advertisement implies the firm generated this return.
 - C)** a violation of the Standards because they prohibit advertising historical returns on high-risk assets.
-

Question #63 of 68

Question ID: 1586488

Jack Stevens is employed by a company to provide investment advice to participants in the firm's 401(k) plan. One of the investment options is a stable value fund run by the company. Stevens' research indicates that the fund is far riskier and less liquid than the typical stable value fund and has a fundamental asset value lower than the book value of the assets. He tells Jessica Cox, the head of employee benefits, about his research, and indicates that he will advise new employees to not invest in the fund and will advise employees who already own the fund to reduce their holdings in the fund. Cox points out that the fund is not in any current danger because there are very few redemptions requested of the fund. Cox also states that a sell recommendation may become a self fulfilling prophecy, causing investors to redeem their shares and forcing the fund to liquidate, which in turn will cause the remaining investors to receive less than their promised value. Stevens agrees with this assessment and feels his fiduciary duty is to all employees. Stevens should:

- A)** continue to recommend that new investors do not invest in the fund, but not advise existing investors to reduce their holdings.
 - B)** tell investors he cannot give advice on the fund because of a conflict of interest.
 - C)** continue to recommend that new investors do not invest in the fund and existing investors reduce their holdings.
-

Question #64 of 68

Question ID: 1586524

Which of the following statements regarding allocating trades is CORRECT? It is permissible under the Standards to allocate trades:

- A)** based upon any method the firm deems suitable so long as the allocation procedure has been disclosed to all clients.
 - B)** based upon compensation arrangements.
 - C)** on a pro-rata basis over all suitable accounts.
-

Question #65 of 68

Question ID: 1586525

Which of the following statements regarding allocating trades is CORRECT? It is:

- A)** never permissible to deviate from a pro rata basis, unless this is done on the basis of an advance indication of interest in the issue.

B) permissible under the standards to allocate trades on the basis of a predetermined formula that may deviate from a pro rata basis but is inherently fair.

never permissible to deviate from a proportional account value weighting method of

C) trade allocation, unless this is done on the basis of an advance indication of interest in the issue.

Question #66 of 68

Question ID: 1586496

Tony Calaveccio, CFA, is the manager of the TrustCo Small Cap Venture Fund in Toronto. Calaveccio places a trade with Quantco Brokerage. While Calaveccio's part of the transaction was conveyed correctly to Quantco, there was a trading error made in Calaveccio's account due to a slip up within Quantco. Calaveccio realizes that the error has taken place, and informs his contact at Quantco. Calaveccio allows Quantco to cover the error, with no cost to TrustCo. This is:

- A)** a violation of Calaveccio's fiduciary duties.
 - B)** a violation of Calaveccio's duty to his employer.
 - C)** permissible under CFA Institute Standards.
-

Question #67 of 68

Question ID: 1586494

Tony Calaveccio, CFA, is the manager of the TrustCo Small Cap Venture Fund in Toronto. He places trades for the fund with River City Brokerage. River City provides Calaveccio with soft dollars to purchase research. River City also deals in municipal bonds, some of which Calaveccio holds in his personal portfolio. He periodically uses the soft dollars to request research reports on various small cap stocks and also on the status of the municipal bond market and issues that he holds. These actions are:

- A)** in violation of his fiduciary duties regarding both the small cap research and the municipal bond research.
 - B)** not in violation of the Code and Standards.
 - C)** in violation of his fiduciary duties regarding the municipal bond research but not so regarding the research on the small cap issues.
-

One year ago, Karen Jason left the employment as a portfolio manager of Howe Advisors. The departure was contentious and both parties threatened legal action. As a result, both parties signed a settlement in which Jason was paid a prorated bonus, but agreed not to work on the portfolios of any existing Howe client for two years. The terms of the agreement were that both parties agreed to keep all aspects of the agreement confidential, including the fact that there was hostility surrounding the departure. Jason now works for Torre Advisors, who has the Stein Company as a new client. At the time Jason left Howe, Stein was a client of Howe, although Jason did not personally work on the Stein portfolio. Jason's supervisor at Torre wants Jason to work on the Stein portfolio. Jason should:

- A)** inform her supervisor that she cannot work on the portfolio because of a legal agreement, but cannot tell him why.
- B)** work on the portfolio because she did not personally work on the portfolio when she was at Howe.
- C)** inform her supervisor that she cannot work on the portfolio because of a non-compete agreement.